

AUCKLAND UNISERVICES LTD



COLLABORATIVE AGREEMENT

PARTIES

AUCKLAND UNISERVICES LIMITED an entity of New Zealand with its business address at 70 Symonds St., Auckland, New Zealand. UniServices is a wholly owned subsidiary of The University of Auckland. The University vests all its intellectual property in UniServices and has granted to UniServices the right to contract the University's staff and facilities in the performance of research. ("AUL").

_____ a company duly incorporated in New Zealand and having its registered office at _____

(Together the "Parties")

BACKGROUND

- A. AUL is owned by the University of Auckland and _____
- B. _____
- C. AUL and _____ propose to collaborate from time to time on projects to apply the AUL expertise for _____ projects.
- D. AUL and _____ now wish to enter into this Collaborative Agreement to record the terms that will apply to any such projects.

AGREEMENT

1. DEFINITIONS

1.1 In this Agreement, unless the context requires otherwise:

A Party's **Background IP**, means the Intellectual Property that Party has agreed to contribute for use in relation to a Project, which:

- a. Is owned or otherwise controlled by that Party, whether alone or jointly with a third party, at the commencement of the relevant Project, including (without limitation) the Background IP of that Party detailed in the Project Agreement establishing that Project; or
- b. Is subsequently developed or acquired by that Party other than during the course of carrying out a Project.

Commercialise, in relation to Project IP, means to:

- a. Manufacture, sell, hire or otherwise exploit a product or process, that uses or incorporates part or all of that Project IP; or
- b. Provide a service, incorporating that Project IP; or
- c. Licence any third party to do any of those things; or
- d. Otherwise licence or assign the Project IP,

Regardless of whether any revenue is generated or intended to be generated, and **Commercialisation** shall have a corresponding meaning.

Confidential Information, in respect of a Party, includes any and all information concerning the activities, business, finances, property (including Background IP) software, know-how, data (technical or non-technical), trade secrets, projects, forecasts, information as to systems or processes, marketing information, customer information or any other information relating to a Party and received by the other Party;

Except for any such information that:

- a. Is within the public domain or subsequently enters the public domain without the fault of the receiving Party;
- b. At the date of disclosure to the receiving Party is lawfully known to the receiving Party, unless both the receiving Party and the disclosing Party agree that it should remain confidential;
- c. Is mutually agreed by the disclosing Party and the receiving Party not to be confidential; or
- d. Is at any time received in good faith by the receiving Party from a third party which is lawfully in possession of the information and had the right to disclose it;
- e. Is (but only to the extent) required to be disclosed by law.

Intellectual Property means all industrial and intellectual property rights (whether registered or unregistered) constituted by statute, law or otherwise and includes (without limitation) patents, plant variety rights, copyright, inventions, designs, software, computer code, trademarks, trade secrets, know-how, and all applications relating to these rights.

Project means a project to be undertaken by the Parties under this Agreement, which is approved by the Parties pursuant to clause 3.2, and which is recorded in a Project Agreement between the Parties.

Project Agreement means a project agreement substantially in the form attached as Schedule 1, entered into between the Parties in respect of a Project pursuant to clause 3.2.

Project IP, in respect of a Project, means Intellectual Property developed by or on behalf of AUL and [REDACTED] or either of them, during the course of that Project, but excludes (for the avoidance of doubt) Background IP.

Insolvency Event, in respect of a Party, means if that Party:

- a. Becomes, threatens or resolves to become or is in jeopardy of becoming subject to any form of insolvency administration;
- b. Goes into receivership otherwise than for the purpose of solvent reconstruction or amalgamation;
- c. Makes or enters into or endeavours to make or enter into any composition, assignment or other arrangement with or for the benefit of that Party's creditors;
- d. Ceases or threatens to cease conducting its business in the normal manner.

2. RELATIONSHIP BETWEEN THE PARTIES

- 2.1 Nothing in this Agreement shall be read or construed as creating a partnership of any kind, joint venture or trust (each Party being individually responsible only for its obligations as set out in this Agreement and each Project Agreement), nor shall any Party have any authority or power to bind or commit, act as agent of, or represent or hold itself as having authority to act as an agent of, the other Party, except as may be otherwise expressly provided in this Agreement or by written agreement between the Parties. No Party shall directly or indirectly purport to give any guarantees, warranties or representations with regard to the other Party, except as expressly permitted in writing.

3. ESTABLISHMENT OF PROJECTS

- 3.1 Each Party may at any time (but shall not be obliged to) submit a proposal to the other Party in respect of a project it considers would be beneficially undertaken in collaboration with the other Party.
- 3.2 As soon as reasonably practical following a proposal being made by one Party to the other pursuant to clause 3.1, the Parties will meet to discuss the merits or otherwise of pursuing the proposed project (meetings may be by way of teleconference or video-conference). If, after such initial discussions, the Parties wish to pursue the proposed project, they will proceed to negotiate (in good faith) a Project Agreement in respect of the same, setting out the terms that will apply between the Parties in respect of the project, including (without limitation):

3.2.1 The matters set out in the form of the Project Agreement attached as Schedule 1 to this Agreement; and

3.2.2 Such other matters the Parties (or either of them) reasonably consider ought to be determined;

Such Project Agreement to be in substantially the same format as set out in Schedule 1.

3.3 Each Project Agreement when signed by both Parties shall be valid and binding on the Parties and shall be deemed to incorporate the terms of this Collaborative Agreement (subject to clause 3.4). For the avoidance of doubt:

3.3.1 No Project shall be deemed to have been approved or agreed to (with the intent and effect that no arrangements with respect to a proposed Project shall be binding on the Parties) until a Project Agreement in respect of the same has been signed by duly authorised signatories of both Parties;

3.3.2 If the Parties are unable to agree on any matter set out in clause 3.2 in respect of any proposal for a Project made by a Party pursuant to clause 3.1, and the Parties consequently fail to enter into a Project Agreement in respect of that Project, the matter shall be concluded and no Party shall have any right to bring any action against the other in respect of such failure to agree (and such failure to agree shall not be a matter capable of being referred to the dispute resolution procedure referred to in clause 9.1).

3.4 In the event of any conflict between the terms of this Collaborative Agreement and the terms of a Project Agreement, the terms of the Project Agreement shall take precedence (but only to the extent of the conflict and only in respect of the Project Agreement (and associated Project) in question).

4 OBLIGATIONS

4.1 **Conduct of Projects:** The Parties shall carry out their respective obligations in respect of each Project, in a timely and professional manner, and in accordance with the terms and conditions of this Collaborative Agreement, the relevant Project Agreement, and all applicable laws, regulations, codes of practice and regulatory consents. This shall include, without limitation:

4.1.1 Each Party carrying out the work and undertaking the tasks assigned to it in each Project Agreement (together with all matters reasonably incidental thereto) by the associated completion dates specified in the relevant Project Agreement;

4.1.2 Each Party making available for use in connection with each Project such other contributions as may be specified in the associated Project Agreement, at the times and in the manner specified in that Project Agreement (if applicable); and

4.1.3 The Parties working together generally to the extent reasonably required to ensure the proper and timely conduct and completion of each Project.

4.2 **Reporting:** Each Party shall provide the other with regular written reports (at intervals not less than that specified in the relevant Project Agreement) on its work in respect of each Project. Such reports shall include full and specific details of:

4.2.1 Work done to date in respect of that Project (and results thereof) and progress towards milestones;

4.2.2 Technological advances made during the course of the reporting Party's work in respect of the Project;

4.2.3 Intellectual Property discovered or developed during the course of the reporting Party's work in respect of the Project;

4.2.4 Commercial opportunities identified in respect of any Project IP or other outputs of the Project, and

- 4.2.5 Such other information as is in the reporting Party's possession and might reasonably be expected to be of interest to the other Party with respect to the Project.
- 4.3 **Meetings:** In addition to the reporting obligations set out in clause 4.2, the Parties shall meet regularly to review progress in respect of each Project, at intervals not less than that specified in the relevant Project Agreement. Meetings may be in person or by way of teleconference or video-conference.
- 4.4 **Good Faith:** Each Party shall promptly bring to the attention of the other Party any information that might reasonably be expected to be of use, interest, concern or detriment to that other Party (in connection with the Project, Background IP or Project IP). This shall include without limitation each Party promptly bringing to the notice of the other Party any change in circumstances that may affect its ability to perform its obligations under this Collaborative Agreement or a Project Agreement.
- 4.5 **Publicity:** Either Party may, with the prior written approval of the other Party, which approval shall not be unreasonably withheld:
- 4.5.1 Publish any report, results or other information generated as a result of any Project;
- 4.5.2 Refer to the trial and any data generated during any Project in any material to promote or advertise the technology which is the subject of the Project.
- 4.5.3 Notwithstanding 4.5.1 and 4.5.2 above, where such material explicitly refers to the other Party, the Party will provide advance copies of the material to the other Party for its review and consent 30 days in advance of submission of such publication, such consent will not be unreasonably withheld.

5 CONFIDENTIALITY

- 5.1 Subject to clause 5.2, each Party shall maintain as confidential:
- 5.1.1 All Confidential Information of the other Party;
- 5.1.2 The terms of this Collaborative Agreement and all Project Agreements; and
- 5.1.3 All information pertaining to or arising from a Project or Project IP;
- And as part of this obligation shall not:
- 5.1.4 Use the Confidential Information of the other Party other than for the purpose of carrying out the relevant Project, or any other such purpose for which it was disclosed;
- 5.1.5 Disclose any information of the kind referred to in clauses 5.1.1 to 5.1.3 to any third party except:
- a. To those of its employees and subcontractors who need to know the information in order to properly carry out the Project, provided such persons are made aware of and also bound by the confidentiality obligations contained in this Collaborative Agreement;
 - b. As expressly permitted by this Collaborative Agreement or a Project Agreement;
 - c. Must reasonably be disclosed to effect Commercialisation of the Project IP; or
 - d. With the prior written consent of the other Party (such consent not to be unreasonably withheld).
- 5.2 The obligations set out in clause 5.1 shall not apply in respect of any information that:
- 5.2.1 is within the public domain or subsequently enters the public domain without the fault of the Party wishing to disclose it; or
- 5.2.2 Is required to be disclosed by law.
- 5.2.3 Is published under clause 4.5.

6. INTELLECTUAL PROPERTY

- 6.1 In respect of each Project, AUL will make available to [REDACTED] such of AUL's Background IP as is specified in the relevant Project, if any, to enable [REDACTED] to carry out its obligations under that Project Agreement, on the basis that [REDACTED] will have the non-exclusive royalty free right to use such Background IP for the purposes of conducting the relevant Project only, and subject always to the provisions of clause 5.
- 6.2 In respect of each Project, [REDACTED] will make available to AUL such of [REDACTED] Background IP as is specified in the relevant Project Agreement (as to be made available to AUL), if any, to enable AUL to carry out its obligations under the relevant Project Agreement, on the basis that AUL will have the non-exclusive royalty free right to use such Background IP for the purposes of conducting the relevant Project only, and subject always to the provisions of clause 5.
- 6.3 No Party shall have any right, title or interest in or to the other Party's Background IP, other than as expressly set out in this Collaborative Agreement and any Project Agreements. For the avoidance of doubt, unless otherwise agreed between the Parties in writing, each Party has the right to use and commercialise its own Background IP and keep all of the royalty and licensing income derived therefrom, and to conduct independent research and development work on its own account, or in collaboration with or on behalf of a third party, as it thinks fit.
- 6.4 Ownership of IP arising from a Project will be determined in good faith on a project-by-project basis, taking into account the relative contributions of Background IP and the input of each Party to the Project. Either Party shall be entitled to use and Commercialise its Project IP and to manage and obtain protection, at its cost, of its Project IP. Where Project IP is jointly owned, the Parties will negotiate in good faith to determine commercialisation terms and sharing of costs for protection of the joint IP. Each Project Agreement will set out the expectations of the Parties in terms of ownership of IP in relation to the defined work under the Project.
- 6.5 Nothing in this Collaborative Agreement or any Project Agreement will preclude negotiations by the Parties to vary the ownership of IP and any subsequent commercialisation terms to take into account regulatory changes or directions from Government to AUL in relation to technology transfer and partnership with business.

7 NO WARRANTIES

- 7.1 The Parties acknowledge that a Project may produce results that:
- 7.1.1 Are unpredictable, inaccurate or uncertain;
 - 7.1.2 Are not worth further developing; and/or
 - 7.1.3 That do not otherwise satisfy either Party's commercial objectives.
- 7.2 The Parties agree and acknowledge that neither Party has given, and nothing in this Collaborative Agreement or any Project Agreement may be construed as, a warranty or representation on the part of a Party as to the safety, suitability or the performance or characteristics of any physical material, data, record, or other information, or that any Intellectual Property will be free from a breach of the rights of any third party or that any Intellectual Property right will be valid.

8 LIMITATION OF LIABILITY

- 8.1 To the extent permitted by law:
- 8.1.1 All conditions and warranties implied by statute, common law or otherwise (including without limitation, any implied warranties as to merchantability or of fitness for a particular purpose) are, to the full extent permitted by law, expressly excluded under this Collaborative Agreement and each Project Agreement.
 - 8.1.2 Neither Party will be liable to the other Party for any for any special, indirect or consequential damages arising under or in connection with this Collaborative Agreement or any Project Agreement (including without limitation loss of or reduction in business or profits).

8.1.3 Excluding any public liability claim, the total aggregate liability (whether in contract, tort, including negligence, or otherwise) of either Party to the other in connection with a Project shall not exceed the price payable for the services provided in relation to that Project. This limit shall not apply in respect of a breach by a Party of any express written warranty, indemnity or guarantee given to the other Party in relation to any Background IP or any third party intellectual property or material the Party in breach contributes to a Project.

8.1.4 AUL shall effect and maintain at its cost public liability insurance for an amount not less than [REDACTED] for any one event or circumstance and shall provide to [REDACTED] upon request a certificate of insurance evidencing this cover.

9 TERM AND TERMINATION

9.1 Term and termination of Collaborative Agreement:

9.1.1 This Collaborative Agreement shall commence on the date the last Party to sign, signs, and shall continue in force until terminated by agreement between the Parties or pursuant to clause 9.1.2.

9.1.2 Notwithstanding clause 9.1.1, this Collaborative Agreement may be terminated by a Party:

- a. For any reason by giving one month's notice in writing to the other Party provided that if there is one or more Project Agreements operative (Projects underway) at the time of giving such notice such termination shall not take effect until the termination or expiry of the Project Agreement(s) in question unless the Parties agree in writing to wind up that Project Agreement(s);
- b. Immediately by notice in writing to the other Party if an Insolvency Event occurs in respect of the other Party.

9.2 Term and termination of Project Agreements:

9.2.1 Each Project Agreement shall become effective on the date the last Party to sign, signs, and subject to earlier termination pursuant to the terms set out in this clause 9, shall continue in force until terminated by mutual agreement between the Parties or upon completion of the Project the subject of the relevant Project Agreement.

9.2.2 Notwithstanding clause 9.2.1, a Project Agreement may be terminated by a Party:

- a. Immediately by notice in writing to the other Party if the other Party commits a material breach of any of its obligations under that Project Agreement, and such breach remains un-remedied one month after the breaching Party has been required by written notice from the non-breaching Party to remedy the breach;
- b. Immediately by notice in writing to the other Party if an Insolvency Event occurs in respect of the other Party;
- c. Pursuant and subject to the terms set out in the relevant Project Agreement if early termination of the Project Agreement (and as a result the Project) by a Party is permitted in that Project Agreement.

9.3 Consequences of termination:

9.3.1 The termination of a Project Agreement shall not terminate this Collaborative Agreement or any other Project Agreement.

9.3.2 Termination of this Collaborative Agreement or any Project Agreement shall be without prejudice to:

- a. The provisions of this Collaborative Agreement or that Project Agreement which expressly or impliedly survive termination of this Collaborative Agreement, or that Project Agreement including clause 5 (confidentiality), 6.3 and 6.4 (Intellectual Property);
- b. The rights and remedies of each Party against the other Party which may have accrued up to the effective date of such termination, and any other remedies at law.

10 MISCELLANEOUS

10.1 Dispute resolution:

10.1.1 Informal resolution: Either Party can initiate the dispute resolution process by giving written notice to the other Party of the dispute ("Dispute Notice"). The Parties will work together in good faith to resolve any dispute or difference arising between them in connection with this Collaborative Agreement or any Project Agreement. Pending resolution of a dispute, each Party, to the extent it is able, will continue to perform its obligations under this Collaborative Agreement or any Project Agreement.

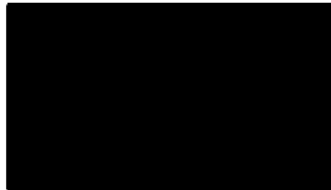
10.1.2 Mediation:

- a. If the Parties cannot resolve the dispute by negotiation within 20 Working Days after delivery of the Dispute Notice, the dispute will be submitted to mediation in accordance with the provisions of the LEADR New Zealand Inc Standard Mediation Agreement ("Mediation").
- b. The Mediation will be conducted by a mediator and at a fee agreed by the Parties. If the Parties fail to reach such an agreement within five working days, the mediator will be selected and the mediator's fee will be determined, by the Chair for the time being of LEADR New Zealand Inc.

10.2 Notices: The Parties respective addresses for notices are as follows:

If to AUL: Auckland UniServices Ltd
Private Bag 92 019
Auckland 1142
New Zealand
Tel: 9 9231730
Facsimile: +64 9 3737412
Attention:

If to 



Provided that, a Party may change its address for service by notice in writing to the other Party.

10.3 No Assignment or Subcontracting:

10.3.1 Except as is expressly provided in this Collaborative Agreement or a Project Agreement, no Party shall be entitled to assign, transfer or dispose of (as applicable) its interest or obligations or any part thereof (if any) in or under:

- a. this Collaborative Agreement; or
- b. any Project Agreement or other agreement entered into in relation to a Project

Without the prior written consent of the other Party.

10.3.2 Notwithstanding clause 10.3.1, if any one or more third Parties are identified in a Project Agreement as being a subcontractor or intended subcontractor of a Party in respect of the performance of the relevant Project, that Party shall be entitled to appoint that third party to assist with carrying out its obligations in respect of that Project, but in any such appointment shall ensure that the third party is made aware of and bound by the confidentiality obligations (applicable to the appointing Party) contained in this Collaborative Agreement. For the avoidance of doubt, any Party appointing a third party subcontractor pursuant to this clause 10.3, the appointing Party will ultimately remain responsible for the acts and omissions of that third party.



10.4 Payments

- 10.4.1** [REDACTED] shall pay AUL for goods and services performed pursuant to a Project Agreement as set out in the relevant Project Agreement, plus goods and services tax ("GST"), if any.
- 10.4.2** [REDACTED] shall reimburse AUL any disbursements incurred by AUL in connection with the Project, provided that [REDACTED] has pre-approved those disbursements in writing.
- 10.4.3** Payment shall be due by the 20th day of the month following the date of issue of AUL's invoice. Where payment is stated in the Project Agreement to be due upon the date specified for completion of a Milestone or completion (i.e. delivery) of a Report, AUL may not issue its invoice until such completion has occurred (unless otherwise agreed by the Parties).
- 10.5 Force majeure:** Neither Party shall be liable to the other for any delay or failure in performance of any of the obligations imposed by this Collaborative Agreement or a Project Agreement if such failure has been occasioned by genetic variation, fire, flood, explosion, lightning, wind, hail, drought, earthquake, subsidence of soil, failure of machinery, equipment, software, hardware or supply of goods, services or materials, discontinuity in the supply of power, court order or governmental interference, civil commotion, riot, war, strikes, labour disturbances, transportation difficulties, labour shortage or by any other cause of like or unlike nature beyond the reasonable control and without the fault or negligence of such Party (financial difficulty excluded).
- 10.6 Governing law:** This Collaborative Agreement and each Project Agreement shall be interpreted in accordance with the laws of New Zealand.
- 10.7 Variation or waiver:** Any variation of the terms of this Collaborative Agreement or a Project Agreement or a purported waiver of the rights of a Party under this Collaborative Agreement or any Project Agreement shall not be of any force or effect unless in writing and executed by the Parties or, in the case of a waiver, by the Party whose rights are expressed to be waived.
- 10.8 Further assurances:** Each Party shall sign and deliver all documents and undertake all acts, matters or things which are reasonably required or requested by the other Party to carry out and give effect to the intent and purpose of this Collaborative Agreement and each Project Agreement, provided however that this clause shall not operate to over-ride the provisions of clause 3.3.2.
- 10.9 Insurances:** AUL must provide evidence of public liability insurance of not less than [REDACTED] before staff employed by AUL or a contractor engaged by AUL enter any [REDACTED] work site. Additional insurance requirements are set out as required in each Project Agreement.
- 10.10 Counterparts:** This Collaborative Agreement may be executed and delivered in any number of counterparts (including facsimile or electronic counterparts). Once the Parties have executed the counterparts, and each Party has received a copy of the counterpart signed by the other Party, each counterpart shall be deemed to be as valid and binding on the Party who executed it as if it had been executed by all the Parties.